

3.6.3 Financial terms and calculations

Content	Additional information
• Basic financial terms • Basic financial calculations • Average rate of return • Break-even	Students should be able to: • understand the difference between variable costs, fixed costs and total costs • understand the concept of revenue, costs, profit and loss • understand the main investment projects that businesses undertake, including investment in new machinery, buildings and vehicles and be able to calculate the average rate of return for these projects • understand the meaning of the term break-even output and interpret break-even charts • identify the break-even level of output and margin of safety from a break-even chart • evaluate the value of using break-even analysis to a business. Students will not be expected to draw break-even charts or use the break-even formula.